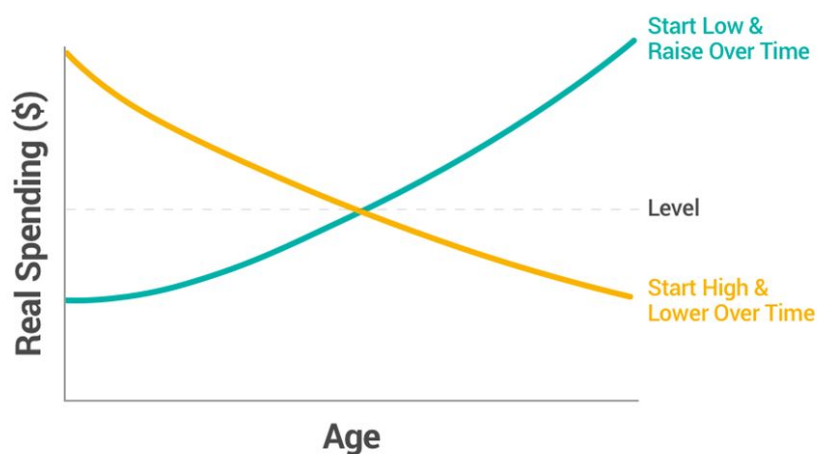


higher withdrawal rate, while spending patterns that are more likely to rise over time must begin with a lower withdrawal rate.

Exhibit 6.2

Targeted Spending Patterns for Retirement



Acceptable Degree of Spending Volatility

A final important consideration is how much fluctuation in annual spending can be expected with a strategy. Spending could increase or decrease over time, but the risk metric of greatest concern is the extent to which annual spending may need to be reduced. The amount of spending volatility a retiree can accept is based on several factors, including:

- simple willingness to make spending cuts,
- an ability to reduce spending without dramatically impacting lifestyle,
- the need for inflation adjustments for the retirement budget, and
- access to other income sources from outside the investment portfolio.

The measure I will use for spending volatility looks at the average reduction in year-on-year spending over the retirement horizon. If there is never a decrease in spending, then the volatility measure is zero. If a thirty-year retirement experiences four spending reductions (in inflation-adjusted terms)—once at 10 percent, once at 5 percent, once at 3 percent, and once at 2 percent—then the measure is the average of these reductions over thirty years (total of 20 percent over thirty years, for a measure of -0.67 percent downside spending volatility).